

Gaining an overview

It is useful to develop an overview of your portfolio not just in terms of the risks and rewards, but also in terms of how much you are allocating to each project. This can be done by using a bubble chart, which is generated by plotting your projects as circles on a graph against potential risk and potential reward. The more resources a project requires, the larger its corresponding circle on the chart. This chart gives you an instant view of what resources are allocated to what levels of risk and reward. It can show you immediately if you have too many resources tied up in risky projects that are unlikely to succeed in the end. Equally, you can see if you are putting too much investment in a safe bet that is unlikely to generate significant rewards.

TIP

BE FAIR

Scrutinize all innovation projects equally and fairly. Do not start up a project just because one individual wants it to happen.

MANAGING YOUR PORTFOLIO



FAST TRACK

The number of innovation projects in progress at any one time is limited

Innovation projects have targets and are abandoned if targets are not met

Priority is given to innovations that meet strategic goals

Innovation projects are subject to careful selection



OFF TRACK

There is no limit to the projects you can take on, so you spread your resources too thinly

You are reluctant to kill off projects if they are not working out

Unimportant projects succeed at the cost of strategically valuable innovations

You do not have a clear criteria for selecting projects